

Bharat Heavy Electricals Ltd (BHEL)

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: BHEL · BSE: 500103 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts, investor decks and public financials. This report follows on from our Q4-2026 report on BHEL and is written to be read on its own — you do not need the earlier one.

1 Snapshot

What the business does: BHEL (Bharat Heavy Electricals Limited) is India's largest government-owned heavy-engineering company — the state holds about 63% of it. Its core business is building the giant machinery at the heart of a power station: the boiler, the turbine and the generator, known in the trade as **BTG**. It does not just supply the machines; it increasingly takes on the whole job as an **EPC** contractor — *engineering, procurement and construction*, meaning it designs the plant, buys everything, builds it and hands over a working power station. It also makes transmission transformers, railway traction motors, naval guns, nuclear turbines and coal-gasification plant. Capacity is measured in **GW** (gigawatts — one gigawatt is roughly one large power-station unit, enough for a mid-sized city). The **order book** is the value of work already won but not yet built and billed.

Measure	Value	What it means in plain words
Market cap	₹1,43,112 cr	What the whole company is worth on the stock market — about ₹1.43 lakh crore. Share price ₹411, against a 52-week range of ₹205–447.
Order book (30 Jun 26)	₹2,60,255 cr	Work won but not yet done. A record, and 27% bigger than a year ago. This is the single most important number in the company.
Q1 FY27 revenue	₹7,698 cr	Sales in Apr–Jun 2026, up 40% on the ₹5,487 cr of the same quarter last year. The backlog is converting into billed work fast.
Q1 FY27 net profit	₹382 cr	Against a loss of ₹455 cr in the same quarter a year ago. BHEL's first profitable first quarter since FY19 — seven years.
FY26 revenue / profit	₹33,782 cr / ₹1,578 cr	Full year to March 2026: sales up 19%, profit roughly triple FY25's ₹513 cr.
Trailing-12-month profit	₹2,415 cr	Last four quarters combined — already 53% above the whole of FY26. Profit is still climbing quarter by quarter.
FY26 cash from operations	₹5,837 cr	Actual cash generated, versus ₹2,192 cr in FY25 and minus ₹3,713 cr in FY24. The biggest single improvement in the accounts.
Price-to-earnings (P/E)	59.3	The share costs 59 times the last year's profit per share. Expensive — a lot of future improvement is already in the price.
Return on capital (ROCE)	8.98%	For every ₹100 of capital tied up, about ₹9 of pre-tax profit a year. Better than FY24's 3%, but still a weak return for a business this capital-heavy.

2 Concall coverage — what is new in this report

Period	Date	Read?
Q4 FY22 → Q3 FY26 (all quarters, May 2022 onward)	May 2022 → Feb 2026	Carried forward from our Q4-2026 report — summarised below, not re-read.
Q4 & full-year FY26 (the boundary of the last report)	4 May 2026 (results), May 2026 call	Covered in the Q4-2026 report. Boundary period.
Q1 FY27 (Apr–Jun 2026)	16 July 2026	Newly deep-read in full ★ — official Q1 FY27 <i>Supplementary Information</i> investor deck (BHEL, 16 Jul 2026), the filed unaudited results with segment tables and auditor notes, and the June/July 2026 exchange filings.

An honest note on sourcing. BHEL did **not** publish an earnings-call transcript for Q1 FY27. Screener.in lists 17 concalls for BHEL but the transcript links for every call after May 2024 are dead, and the newest call it lists at all is May 2026 (Q4 FY26). Checking BHEL's own investor pages and its BSE filings for July 2026 confirms no Q1 FY27 transcript has been filed — the only investor engagement disclosed was a one-to-one/group investor meeting in Mumbai on 24 July 2026 at which, per the filing, "the company will not make any presentation." So the newest quarter here is read from management's own written investor deck and the audited-review filing rather than a transcript. Where this report quotes management, it quotes those documents.

★ Latest highlights — Q1 FY27 (results filed 16 July 2026)

- **A genuine turnaround quarter, not a seasonal fluke.** Revenue ₹7,698 cr (+40%), profit before tax ₹513 cr against a loss of ₹607 cr, net profit ₹382 cr against a loss of ₹455 cr. BHEL has lost money in the June quarter every year since FY19 because its billing is back-loaded to the second half. This is the first June quarter in seven years that made money — the clearest single sign that the margin repair is structural.
- **The power business flipped from loss-maker to profit engine.** Power segment revenue ₹5,919 cr (+51.8%) and segment profit before tax and interest ₹563 cr, against a **loss of ₹510 cr** a year ago — a ₹1,073 cr swing. Plain read: the old fixed-price contracts signed at rock-bottom rates, which management has been warning about for four years, have finally shrunk enough to stop dragging.
- **Record order book of ₹2,60,255 cr, up 27%** from ₹2,04,375 cr a year earlier. Q1 order inflow was ₹26,745 cr (Power ₹22,625 cr, Industry ₹1,767 cr, Exports ₹2,353 cr). Plain read: roughly seven years of work at the current sales rate is already booked.
- **But one contract is almost the whole quarter's inflow.** The 3×800 MW Meja supercritical thermal EPC order from MUNPL (an NTPC / Uttar Pradesh state utility joint venture in Prayagraj), notified 4 June 2026, is worth about **₹21,000 cr on its own** — roughly 79% of the quarter's total inflow, to be built over 70 months. Strip Meja out and BHEL booked only about ₹5,700 cr of new work in three months, against ₹76,000 cr in all of FY26. Lumpy is normal for this business, but the quarter's headline flatters the underlying run-rate.
- **Cash is finally following profit.** Total customer collections ₹11,004 cr against ₹8,191 cr (+34%) — BHEL collected substantially more cash than it billed. Finance costs fell 23% to ₹140 cr, other expenses fell 42% to ₹391 cr, and employee cost rose just 3% on 40% more revenue. Trade-receivables turnover improved to 3.61x from 3.06x. That is textbook operating leverage.
- **Diversification is real but slow, and the industry arm went backwards.** Industry-segment revenue grew only 12% to ₹1,778 cr and its segment profit fell 21% to ₹243 cr from ₹307 cr. Non-power stayed at 17% of the order book (was 18% at March 2026). Management's stated 50:50 power-to-industry ambition is no closer.

Business mix & capacity.

Revenue mix (Q1 FY27): Power ₹5,919 cr = 77% of sales; Industry ₹1,778 cr = **23%**. Plain read: three rupees in every four still come from building power stations.

Profit mix (Q1 FY27): Power ₹563 cr = **70%** of the ₹805 cr segment profit; Industry ₹243 cr = **30%**. Plain read: Industry punches slightly above its weight on margin, but it is shrinking as a profit contributor, not growing.

Order book mix (30 Jun 26): Power **81%**, Industry **17%**, Exports **2%**. Named non-thermal pieces: Transportation (railways) ~₹15,000 cr, Transmission ~₹14,000 cr, Nuclear ~₹12,000 cr, Coal gasification ~₹8,000 cr, Defence ~₹7,000 cr, Hydro ~₹5,500 cr, Spares & Service ~₹4,000 cr — about ₹65,500 cr, a quarter of the book. Plain read: the diversification is genuine in absolute rupees, but power grew just as fast, so the percentage has not moved.

Order book cover: ₹2,60,255 cr against trailing-12-month revenue of ₹35,993 cr = **about 7.2 years of work in hand**. Plain read: extraordinary visibility. The constraint on BHEL is how fast it can build, not whether there is work.

Manufacturing capacity: BHEL has previously stated it can deliver roughly **10 GW of power equipment a year** (peak achieved ~12 GW). **This figure was not re-disclosed in the Q1 FY27 deck**, and no updated utilisation percentage was given — we are not inventing one. What the deck does confirm is physical progress: capacity added at Patratu STPS Unit 2 and Yadadri TPS Unit 3, full load reached at Udangudi STPP Unit 1, and coal firing at NALCO's Damanjodi captive plant.

★ Since our last report

This builds on our Q4-2026 report on BHEL (prepared 11 July 2026), whose coverage stopped at the **Q4 & full-year FY26 results of 4 May 2026**. That report reached two verdicts: **durable earning trigger — YES**, and **management consistent — YES**. It left four live promises to watch: that the margin recovery which started in the second half of FY26 would carry into FY27; that the legacy fixed-price power contracts (then about 71% of power sales) would keep rolling off; that non-power would move toward half the business; and that order inflow would stay strong after FY26's ₹76,000 cr. One quarter of new evidence follows.

Prior read	What we said then	What the new quarter shows	Movement
Durable earning trigger — YES	Thermal ordering super-cycle is real; the record order book has started converting into 19% sales growth, doubled margin and tripled profit.	Order book up another 27% to ₹2.60 lakh cr; revenue +40%; power segment swung from a ₹510 cr loss to a ₹563 cr profit. Conversion accelerated, it did not stall.	Confirmed
Management consistent — YES	They named the trigger early, warned honestly about the lag, refused to over-promise, and delivered.	Delivered again: they said the improvement was for H2 FY26 into FY27, and Q1 FY27 broke a seven-year run of June-quarter losses. No story change in the deck.	Confirmed
Promise: margin recovery continues into FY27	Guided qualitatively that the sharp improvement was for H2 FY26 onward.	Operating profit ratio 6.55% versus minus 9.79% a year ago. First profitable Q1 since FY19. Cost lines all moved the right way.	Confirmed
Promise: legacy low-price contracts roll off	Then ~71% of power sales; management said margins stay thin until they finish.	Power PBIT swing of ₹1,073 cr on 52% revenue growth. The deck's exact framing: "disciplined execution is structurally improving margins." No fresh percentage was disclosed.	Improving
Promise: non-power toward 50:50	Called this "Moderate" strength — real orders won, revenue mostly still to come.	Non-power stuck at 17% of the order book (18% at March 2026). Industry revenue +12% only, and its profit <i>fell</i> 21%. Nuclear, coal gasification and green hydrogen are still story, not sales.	Slipping
Promise: order inflow momentum after ₹76,000 cr in FY26	Noted FY26 beat the ₹60–70,000 cr guidance but was below FY25's ₹92,500 cr.	₹26,745 cr booked in Q1 — but ₹21,000 cr of it is the single Meja order. Underlying ex-Meja inflow ~₹5,700 cr is thin. No FY27 inflow guidance was given.	On-track, thinly

Both verdicts are unchanged, and both are more comfortable than they were. The earning-trigger YES is upheld because the thing we were waiting to see — the power segment turning profitable rather than merely less loss-making — actually happened, and happened in the seasonally worst quarter of the year. The management-consistency YES is upheld because their central claim ("H2 FY26 into FY27 is when it turns") landed almost exactly. Neither is upgraded, because two things did not improve: diversification is going nowhere as a share of the business, and the quarter's order inflow depends almost entirely on one contract. Nothing here downgrades either verdict.

★ 3. Earning-trigger thesis

The one big driver, restated: after nearly a decade in which India built almost no new coal-fired power stations, it is building them again at scale. The national target for new thermal capacity has been raised from about 97 GW to over 110 GW by the early 2030s. BHEL is one of only two credible home-grown suppliers of the boiler-turbine-generator sets those plants need, and it is increasingly winning the whole EPC contract rather than just the machinery — Meja alone is ₹21,000 cr for three 800 MW units. Its order book has gone ₹1.32 lakh cr (Mar-24) → ₹1.96 lakh cr (Mar-25) → ₹2.40 lakh cr (Mar-26) → **₹2.60 lakh cr (Jun-26)**. **What changed this quarter is that the backlog stopped being a promise about profit and became profit.** The power segment — 77% of sales — went from losing ₹510 cr to earning ₹563 cr in twelve months, and the company made money in a June quarter for the first time since 2018. That is the specific evidence the thesis needed.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Thermal ordering super-cycle (BTG + EPC)	India's thermal target raised to 110+ GW; BHEL positioned for "sustained leadership in core thermal"; record executable order	Order book ₹2.60 lakh cr (+27%). Meja 3×800 MW EPC (~₹21,000 cr) and DVC Durgapur 1×800 MW main plant won in Q1. Power revenue	Multi-year, to 2031-32	Strong	Strengthened. Last report the trigger was proven at company level; now it is proven at <i>segment</i> level — the

	book gives "strong long-term revenue visibility."	+52%, power profit swung ₹1,073 cr positive.			power business itself is profitable.
Margin repair from legacy contracts rolling off	"BHEL is translating order book into profitable growth with higher margins and stronger cash generation"; "disciplined execution is structurally improving margins."	Operating profit ratio -9.79% → +6.55% year on year. Employee cost +3% on +40% revenue. Other expenses -42%. Finance cost -23%. FY26 cash from operations ₹5,837 cr.	1-3 years	Strong	Upgraded from Moderate. Q1 was the acid test — it is the quarter BHEL always loses — and it passed.
Non-power diversification (railways, transmission, defence, nuclear)	"Strong diversifications, reducing dependence on any single sector"; ₹65,500 cr of named non-thermal backlog.	Real orders exist — ₹15,000 cr railways, ₹14,000 cr transmission, ₹12,000 cr nuclear, ₹7,000 cr defence. But Industry revenue grew only 12% and its profit fell 21%. Share of book flat at 17%.	3-5 years	Moderate	Weakened slightly. Absolute progress, zero relative progress, and profitability in the segment went backwards this quarter.
New engines: nuclear, coal gasification, green hydrogen	Nuclear target lifted to 100 GW by 2047; coal-gasification mission ~100 MT by 2030; green-hydrogen mission 5 MMTPA by 2030. BHEL "establishing", "exploring", "being explored."	Coal-to-Ammonium Nitrate plant foundation stone laid at Lakhanpur, Odisha (CIL-BHEL joint venture) on 20 June 2026. Agreement signed with thyssenkrupp nucera India on 7 July 2026 for electrolyzers. PFBR 500 MW Kalpakkam turbine overhaul won.	5-10 years	Early / speculative	New in this report. Named as growth engines for the first time with this prominence. Almost no revenue attached yet — treat as optionality, not forecast.
Exports	"Significant expansion in international business."	₹2,353 cr of export orders in Q1 including BHEL's "largest-ever single export order on supply & supervision basis" — 8 gas turbine generator packages for a refinery and polypropylene plant. Exports still only 2% of the book.	3-5 years	Moderate	Improved from negligible. Exports were 1% of the book at March 2026, now 2%. Small base, real direction.

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Q4 FY22 (May 2022)	Thermal ordering is recovering; a 7,700 MW pipeline is visible and orders will follow.	By FY24 nearly 10 GW of thermal orders had landed. The pipeline they pointed at was real.	Delivered
Q4 FY23 (May 2023)	Order book to cross ₹1 lakh cr; unbilled work will unwind into cash and sales in FY24-25.	Order book crossed ₹1 lakh cr. But cash conversion lagged badly — FY24 cash from operations was minus ₹3,713 cr . The sales pickup arrived a year later than implied.	Partly
Q4 FY24 (May 2024)	Sales to grow 12-15% a year; gross margin "has bottomed and the trajectory will turn"; legacy low-margin orders to roll off.	Beaten. FY25 and FY26 sales both grew ~19%; margin went 3% → 7%; profit tripled to ₹1,578 cr.	Delivered
FY26 calls (May 25 – May 26)	Legacy fixed-price contracts are ~71% of power sales and will hold margins down; the sharp improvement comes in H2 FY26 into FY27. Order inflow guidance ₹60-70,000 cr.	Tracked almost exactly: FY26 opened with a ₹455 cr loss in Apr-Jun 2025, then ₹368 cr, ₹382 cr and ₹1,283 cr through the year. Inflow came in at ~₹76,000 cr, beating the guided range.	Delivered
Q1 FY27 (Jul 2026)	Deck claims: "entering a multi-year growth phase with improving profitability and cash generation"; margin expansion "based on operating leverage and operational efficiency"; cash generation via "faster realization."	All three visible in the same quarter's numbers: operating profit ratio +6.55% versus -9.79%, employee cost +3% against revenue +40%, collections ₹11,004 cr against billings of ₹7,698 cr. First profitable Q1 since FY19.	Delivered
Ongoing	Long-term ambition to take non-power toward 50% of the business.	Non-power is 17% of the order book, versus 18% three months earlier and ~18% a year earlier. No timeline has ever been attached to the 50:50 goal, which makes it unfalsifiable.	Slipping

Ongoing	Refuses hard numeric guidance on profit or margin; frames everything qualitatively.	Unchanged in Q1 FY27 — the deck gives directional arrows ("↑ Revenue Growth", "↑ Margin Expansion") and no numbers at all. They under-promise and beat, but they cannot be held to anything.	Style note
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Narrative drift. Still almost none, and that remains BHEL's strongest management credential. The story has moved in one direction for four years — "thermal ordering is recovering" (FY22) → "record orders" (FY24) → "record orders turning into sales and profit" (FY25–26) → "translating order book into profitable growth with higher margins and stronger cash generation" (Q1 FY27). Each step was earned by the previous one. They were candid about the lag rather than hiding it: they told investors margins would stay poor while old fixed-price contracts finished, and that the turn was for the second half of FY26 into FY27, and that is precisely what the quarterly numbers did. A change of chief (Dr. Nalin Shinghal → K. Sadashiv Murthy) produced no change of message. **Three honest blemishes, though.** First, the 50:50 power-to-industry ambition has been repeated for years with no date and no progress, and the Industry segment's profit actually fell this quarter — that is a promise being quietly carried rather than pursued. Second, the newest deck introduces nuclear, coal gasification and green hydrogen as "the next engines of growth" with market-size numbers and words like "being explored" attached — a familiar pattern where a company under-delivering on one diversification story reaches for a newer, more distant one. Third, and separately from management's own conduct: BHEL's own filing discloses that **the board currently has no independent directors**, so the audit committee does not comply with SEBI Regulation 18 or Section 177 of the Companies Act, and the Q1 results were placed directly before the board without audit-committee review. That is the government's appointment failure rather than the executive team's, but it is a real governance gap in a company this size.

5 Bottom line — two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

What moved it: the power segment stopped losing money. That is the whole answer. For four years the argument against BHEL was that a record order book meant nothing while the work inside it was priced too low to earn a profit — and as recently as Apr–Jun 2025 the power business, three-quarters of the company, lost ₹510 cr. Twelve months later the same segment earned ₹563 cr on 52% more revenue, and the company as a whole made ₹382 cr in the quarter it has lost money in every year since FY19. Around that sit a record ₹2,60,255 cr order book (up 27%, about seven years of work), collections of ₹11,004 cr against billings of ₹7,698 cr, ₹5,837 cr of operating cash in FY26, and a national thermal target raised from 97 GW to over 110 GW that gives the pipeline years to run. The trigger is durable, it is government-underwritten, and it is now visible in segment profit rather than only in backlog. **Two caveats that stop this being a stronger yes than it already is:** ₹21,000 cr of the ₹26,745 cr booked this quarter is one contract, so the underlying order run-rate is thinner than the headline; and at 59 times earnings with ROCE still under 9%, the operating story is a good deal better than the price you pay for it.

Management consistent? → YES (vs last quarter: unchanged)

What moved it: they called the timing right, in public, in advance. Through FY26 management said plainly that margins would stay poor while legacy fixed-price contracts finished, that the improvement belonged to the second half of FY26 and into FY27, and that investors should not expect a straight line. The quarters then went –₹455 cr, +₹368 cr, +₹382 cr, +₹1,283 cr, and now +₹382 cr in a quarter that is structurally the year's worst. That is a management team whose warnings and whose results match — rarer than it sounds, and the core of a deserved Yes. They have also not drifted: the same thermal-recovery story has been told, unembellished, since 2022, through a change of chairman. **What keeps it from being upgraded:** the 50:50 power-to-industry goal has been repeated for years with no date, no progress and a segment whose profit fell 21% this quarter; the new nuclear / coal-gasification / green-hydrogen framing arrives conveniently as the older diversification promise stalls; and they still give no numeric guidance whatsoever, which means they can only ever be judged after the fact. Add the board's lack of any independent director — a genuine governance hole, whoever's fault it is — and this is a solid Yes rather than an emphatic one.

Sources: BHEL *Q1 FY2027 Results — Supplementary Information* investor deck, 16 July 2026 (bhel.com); BHEL unaudited standalone and consolidated financial results for the quarter ended 30 June 2026, with segment tables, auditor limited-review report and Regulation 52(4) ratio annexure, filed with BSE/NSE 16 July 2026; BHEL BSE filings July 2026 (investor-meeting intimation 21 July, board-meeting intimation 9 July); BHEL exchange announcement on the MUNPL / NTPC 3×800 MW Meja Stage-II EPC award, June 2026; BHEL Q4 FY22 (21 May 2022), Q4 FY23 (26 May 2023) and Q4 FY24 (21 May 2024) earnings-call transcripts via Screener.in; Screener.in financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results) current to the June 2026 quarter; and our own Q4-2026 BHEL report for pre-May-2026 history.

A note on what could not be obtained: no earnings-call transcript exists for Q1 FY27 — BHEL has filed none, and Screener.in's transcript links for every BHEL call after May 2024 are broken. The newest quarter is therefore read from primary company filings and management's own written deck rather than from a call. Figures are standalone unless stated; BHEL's consolidated Q1 FY27 profit of ₹376.7 cr differs marginally from the standalone ₹381.9 cr used here.